United States that it could no longer afford to fight communist insurgencies in Greece and Turkey and decided to leave it as of March 31. United States chose to act. President Harry S. Truman decided to intervene in support of Greece and Turkey. He committed to provide financial and military assistance to those countries where communism was ascendant. This laid the framework for US policy towards containing communism, known popularly as the Truman Doctrine which dominated until the end of the Cold War.



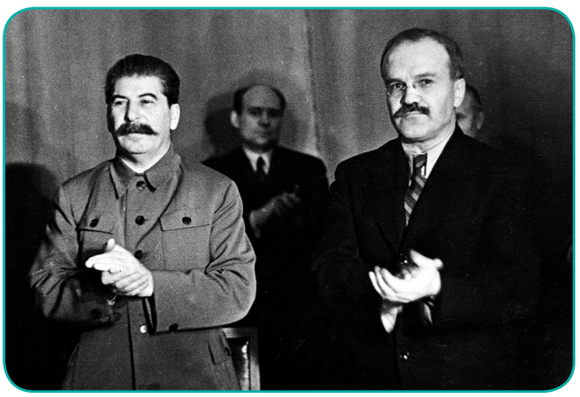
Truman and Marshall

Marshall Plan

With its experience in Greece and Turkey, USA understood the value of American dollars in containing Communism. So it decided to move further in the same direction. In June 1947, George C. Marshall, the Secretary of State under President Truman, came out with an economic plan for all those European countries which were affected by war. He called it a European Recovery Programme. Marshall declared, "Our Policy is directed not against any country or doctrine but against hunger, poverty, desperation and chaos". European states were provided with financial assistance. Over the next four years 13,000 million dollars were pumped into western Europe in the name of Marshall plan. By 1948 sixteen European states and the three Western zones of Germany set up the Organisation for European Economic Cooperation (OEEC). Marshall Aid lasted for four years (1948–52). Molotov, the soviet foreign minister dubbed the Marshall Plan as "dollar imperialism". In the Soviet view, Marshall Plan was little more than a ploy to spread American influence.

Molotov Plan

In response to Marshall Plan, USSR set up *The Cominform* (the Communist Information Bureau) in September 1947. This was an organisation in which all European communist parties were represented. It discouraged trade contact between the non-communist countries and tried to forge ideological and material linkages with its member countries. In 1949, USSR came out with its economic package known as Molotov Plan. Another organisation, known as *Comecon* (Council of Mutual Economic Assistance), was set up to co-ordinate the economic policies of USSR and its satellite states.



Joseph Stalin and Molotov

(b) Military Pacts

Forging strategic alliances by signing military pacts was another notable strategy used by both the powers to enlarge their camps. In 1948 Czechoslovakia was the only democratic state in Eastern Europe and was a buffer between the capitalist bloc and the Soviet Union. In the elections of May 1948 the Communist party swept the polls. This further alarmed the western powers.

North Atlantic Treaty Organisation (NATO)

Despite the friendship of the United States, Western European countries felt insecure. Communist victory in Czechoslovakia added to their fears.

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